

Canara Bank

CANBK · Financials

ROE

16.7%

ROCE

3.1%

Net Profit Margin

13.9%

Debt-to-Equity

14.87

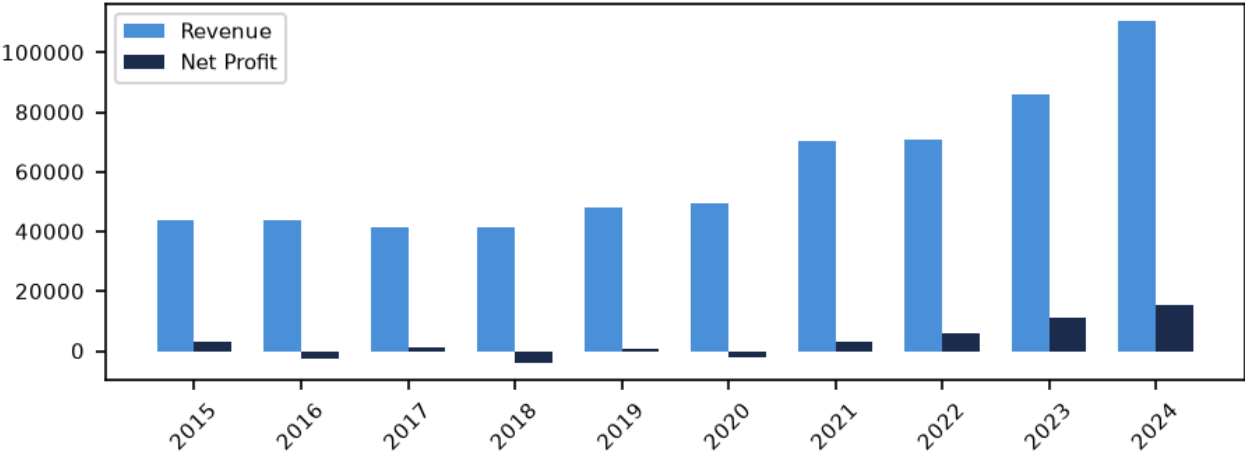
Revenue CAGR (5yr)

18.2%

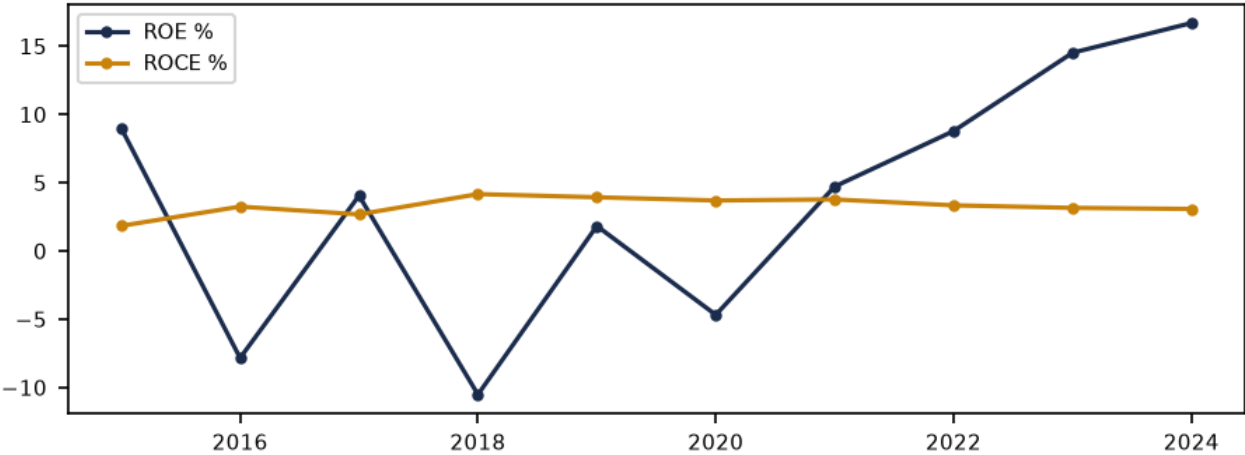
Free Cash Flow

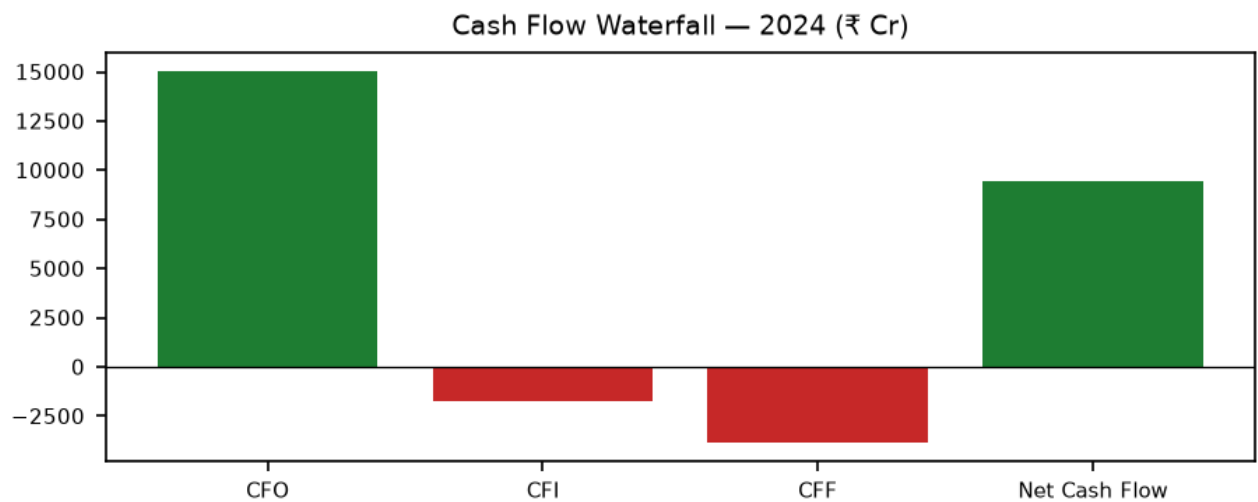
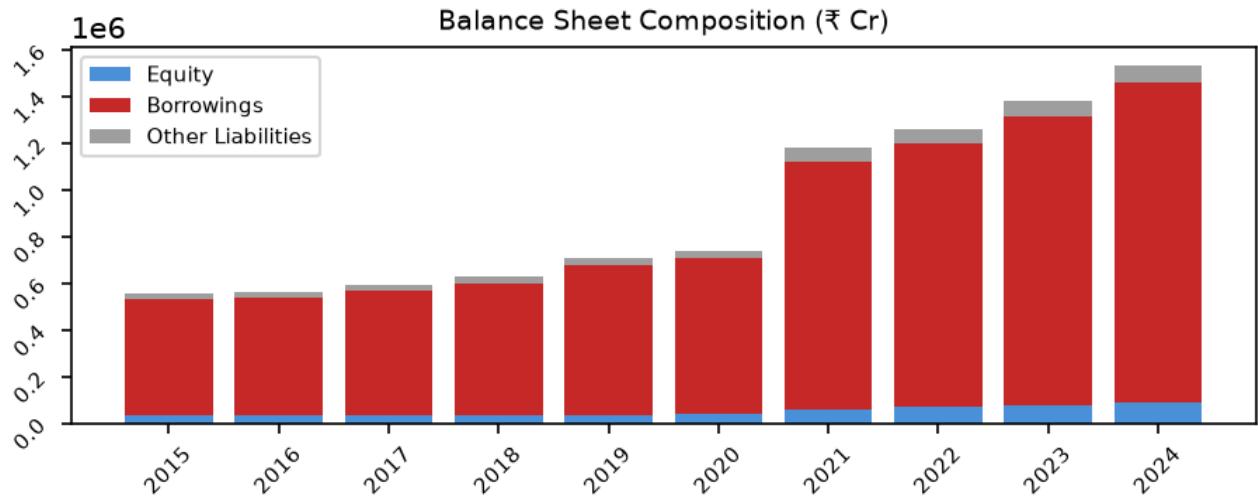
■ 13,296 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Reinvestor